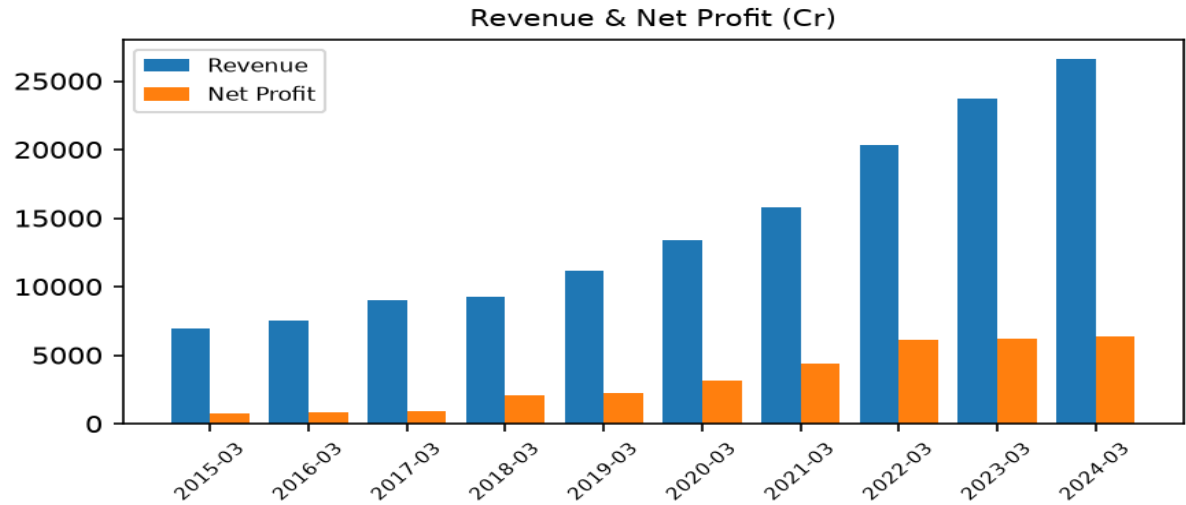


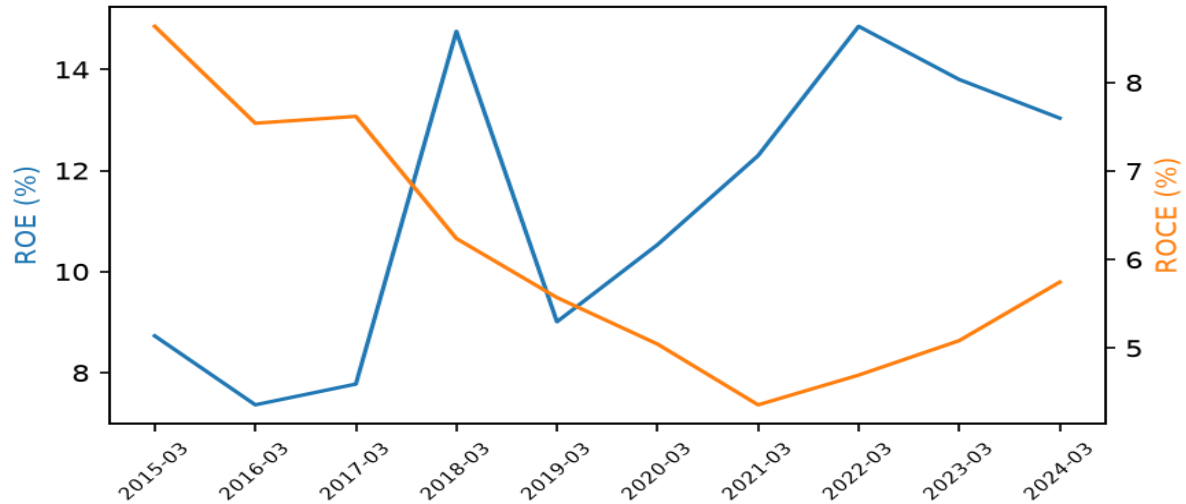
Indian Railway Finance Corporation Ltd (IRFC)

ROE 13.0%	ROCE 5.7%	Net Profit Margin 24.1%
D/E 8.4	Revenue CAGR 5yr 19.1%	Free Cash Flow (Cr) 7906.0

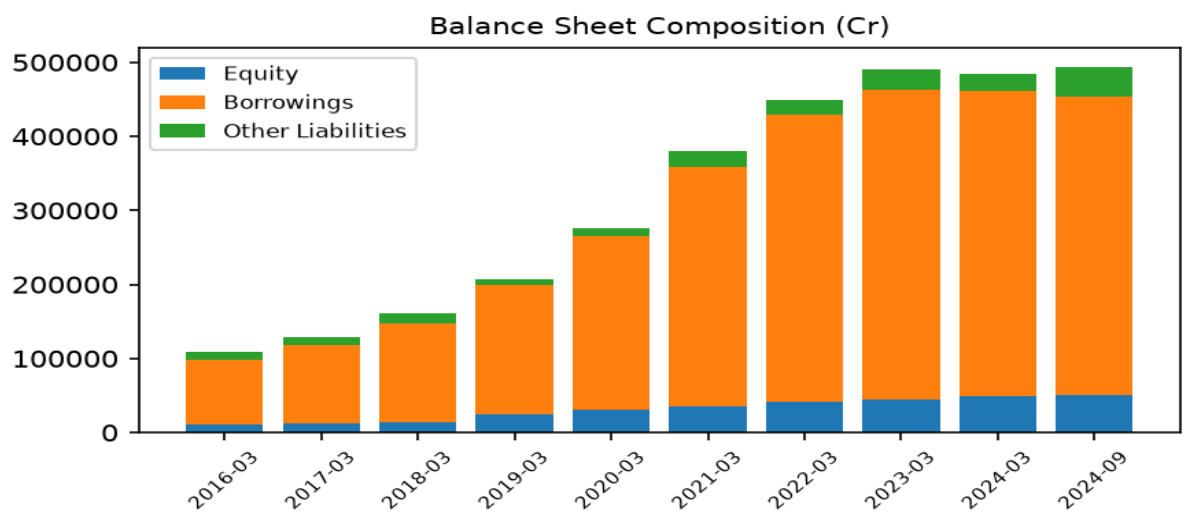
Revenue & Net Profit (10yr)



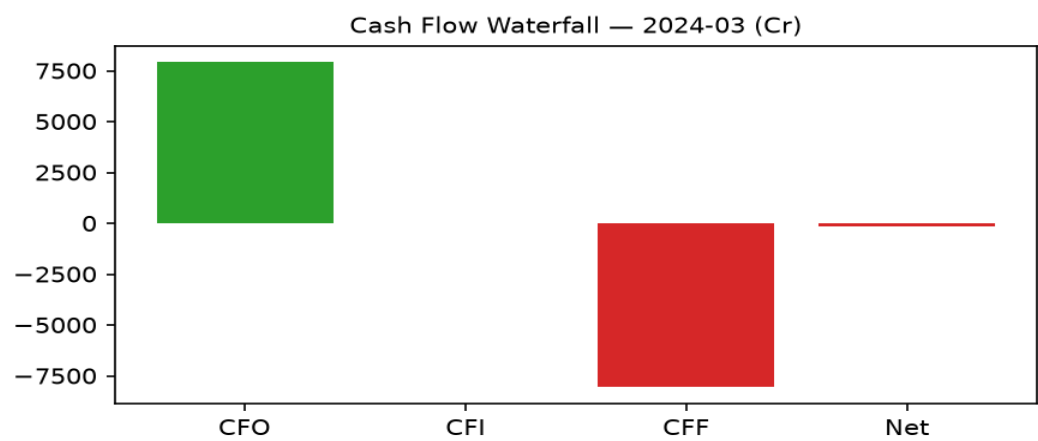
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Debt-to-equity of 8.38 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Shareholder Returns